



What's HOT

Here's a new acronym to greet you this festival season: UMAR. It stands for Upper Middle and Rich. The acronym evolved from a recent survey conducted by market researcher Nielsen to get a realistic profile of affluent Indians against the backdrop of an economic deceleration. The survey, conducted across 35 cities, produced some interesting findings, including the fact that 98 per cent of high worth individuals read English newspapers and yet prefer to watch television in Hindi or regional languages. The Great Indian Paradox is alive and well. The survey is based on lifestyle and consumer ownership of a household rather than monthly income. For affluent individuals, gyms, spas and beauty parlours are the new hangout zones while fine dining is a high priority: eight in 10 UMAR's eat out regularly. Shopping is a craze—nine in 10 shop at modern retail stores, mainly for footwear, jewellery, handbags, sunglasses, cosmetics, fragrances, pens and watches. The survey estimates a total of 2.5 million affluent households in India. Nine in 10 affluent individuals own a house and two in five have a home theatre and/or modular kitchen.

That survey comes on the well-shod heels of a recent book by Australian author Geoff Hiscock, an expert on Asian economies. His take on the affluent Indian is more analytical. He concludes that as the Indian consumer seeks new experiences from food and wine, installs an in-home spa and holidays in exotic destinations, modern retail is on its way to becoming the key driver of the country's economy. His book *India's Store Wars: Retail Revolution and the Battle for the Next 500 million Shoppers*, says that India's consumer demand, like China's, is simply unstoppable. The book explores the changes in the demographic profile, tastes and spending habits of the Indian consumer and how younger Indians have more confidence and are willing to borrow to finance their consumption. According to the latest research in the India Retail Report 2009, retail spending by Indian consumers is expected to rise from Rs 13.3 lakh crore now to Rs 18.1 lakh crore by 2010. "That is a huge increase in spending, and we can put it down to the fact that not only are incomes rising but younger people entering the workforce are more prepared to spend money than their parents were. The 'save' mentality is being replaced by the 'spend' mentality," says Hiscock. The following pages have lots of goodies to spend on.

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